

Week ending: 12th November 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills were undersubscribed during the week recording an overall subscription rate of **69.27%** compared to **131.14%** that was recorded last week. We partly attributed the undersubscription to the concurrent primary bond issuance. The 91-day paper recorded the highest subscription at **99.76%** while the 182-day paper recorded the lowest at **52.02%.**The CBK accepted **99.38%** of the KES **16.63Bn** worth of bids received**. The current fiscal year borrowing is 45.05% ahead of prorated target**. The yield in the 182-day and 364-day papers maintained their upward moment edging up by **12.9bp** and **12.1bp** to close at **7.68%** and **8.75%** respectively. Meanwhile the 91-day paper yield declined marginally to close at **7.07%.**

- In the primary bond market, the duo issue was oversubscribed at a rate of **168.34%.** In line with our expectations the shorter term paper, **FXD1/2021/5,** received the highest bids at **KES 66.60Bn**. **FXD1/2021/5** was issued at par with both the Coupon rate and the yield coming in at **11.28%**. **FXD1/2019/20** recorded a coupon rate of **12.87%** and a yield of **13.41%.** The government accepted **KES 69.51Bn** of the **KES 89.17Bn** worth of bids received.

- In the secondary market, the value of bonds traded increased by **37.94%** to **KES 18.65 Bn** from **KES 13.52 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.51** taking the YTD loss to **1.02%.**

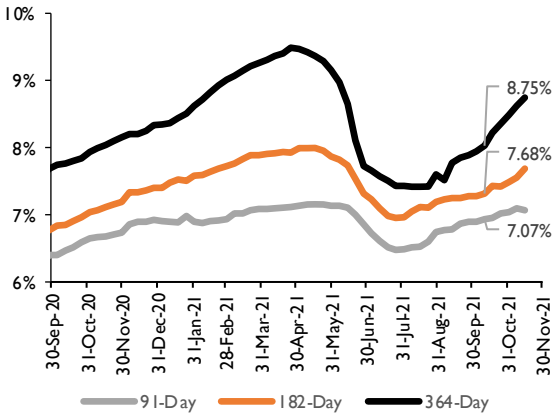
We expect activity in the secondary bond market to be driven by investors hunting for higher yields and attractive entry points on some specific papers. Continued borrowing by the government is likely to exert upward pressure on the yield curve.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (October)	6.45%	6.91%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

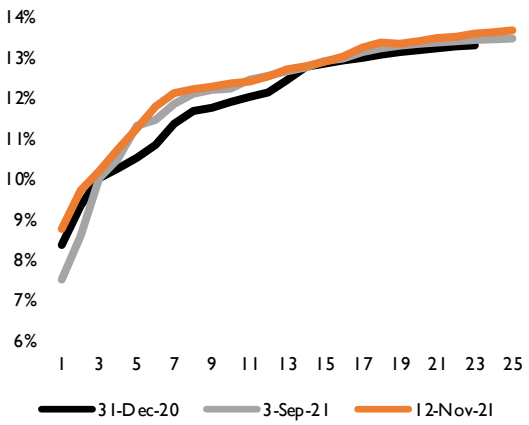
Key Indicators

	Current	Previous	% Change
91- Day	7.07%	7.10%	0.03%
182-Day	7.68%	7.55%	0.13%
364-Day	8.75%	8.62%	0.13%
Interbank Rate	4.68%	4.73%	0.05%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.24%** to trade at **111.81** from **111.55** at the close of last week. The shilling has depreciated by **2.42%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,094** million (**5.56** months of import cover), a **0.29%** week-on-week increase from **USD 9,068** million (**5.54** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the market eased as reflected by the average interbank rate decreasing to **4.68%** from **4.73%** recorded in previous week.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK and the beginning of the monthly CRR cycle. However, we expect government payment to continue supporting inflows.

GDP growth

KNBS released the economic growth figures for both Q1 and Q2 of 2021, where GDP growth, as measured at market price, contracted by **0.7%** in 1Q21 compared to a **4.4%** growth recorded in 2020. However, the growth was more positive in Q2 where there was a recovery growing by **10.1%** in 2Q21 compared to a **4.7%** contraction recorded in 2Q20. Major growth drivers included: Education(**67.6%**), ICT **(25.2%)** and Transport and Storage **(16.9%).** The performance recorded by this sectors was expected as they were the most severely affected by the COVID19 pandemic. Surprisingly, the Agricultural sector contracted by **0.9%** compared to a **4.9%** growth in 2Q20, mainly attributable to unfavorable weather conditions experienced in the country for the better part of the year**. We maintain our expectation of a continued pick-up in economic growth and a better performance in 2021 mainly due to increased economic activity. The improvement will mainly come at the back of the easing of some of the restrictive measures that had previously been in place.**

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